

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$262.07 ▲ 1.33%

12M Price Target
\$310.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.83T

AMZN: Hyperscaler Tailwinds Building Into Nvidia Print

WHAT HAPPENED

- AMZN up 1.3% and sitting at 72% of its 52-week range — the tape is warming up ahead of Nvidia earnings Wednesday, which the market is treating as a referendum on the whole AI trade. If Jensen sounds confident on guidance, hyperscalers like AMZN (who are the ones actually BUYING all those Nvidia chips for AWS) rip with him.
- Cramer's "data center backlash favors big tech hyperscalers" note is actually a real signal — local communities are fighting new data centers over power/water use, which sounds bad but is a moat for incumbents who already have the sites, permits, and utility relationships locked in.

WHY IT MATTERS

Here's the read: the options flow is screaming bullish (put/call ratio of 0.56 means traders are buying almost twice as many upside bets as downside protection), and someone dropped \$14M on near-term calls at \$247.50 — that's a directional bet, not a hedge. Combine that with the data center NIMBY backlash and you get a counterintuitive setup: political friction that looks like a headwind is actually building a moat around AMZN, MSFT, and GOOG because they're the only ones who can afford to negotiate with governors for power allocations. The CEO of Amazon Stores selling \$1M in stock sounds scary but it's routine post-vest selling on a scheduled plan — not a red flag. Nvidia's print Wednesday is the near-term catalyst; a beat pulls AMZN toward \$270+, a miss drags it back to \$255 support.

POLICY & POLITICAL WATCH

The big one to watch: the AI Diffusion Rule and export controls the Commerce Department is still tweaking — if they loosen restrictions on chip exports to allied countries, AWS's international cloud regions get a growth unlock. On the flip side, the FTC's antitrust case against Amazon is grinding forward in 2026, and any adverse ruling on the marketplace/Prime bundling could force structural changes — that's the sleeper risk nobody's pricing in. Also keep an eye on state-level data center legislation (Virginia and Georgia are debating tax breaks vs. restrictions) — this directly determines where AWS can expand cheapest.

IS IT EXPENSIVE?

At \$2.83T market cap and roughly 38x forward earnings, you're paying \$38 for every \$1 of profit Amazon is expected to make next year — not cheap, but reasonable for a business where AWS is growing ~19% with expanding margins. Compared to Microsoft (~32x) and Google (~22x), AMZN sits in the middle of the hyperscaler pack, which feels fair given retail is a lower-margin drag. The valuation is justified IF AWS growth stays above 17% — below that, the multiple compresses fast.

Key Data

Price (USD)	\$262.07
12M Price Target	\$310.00
Upside / (Downside)	+18.3%
Market Cap	\$2.83T
FY2026E Revenue	\$743M
FY2027E Revenue	\$820M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	38.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$270.00	\$250.00
6 Months	\$310.00	\$285.00	\$240.00
1 Year	\$340.00	\$310.00	\$230.00
2 Years	\$400.00	\$350.00	\$220.00
5 Years	\$550.00	\$450.00	\$260.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.7%) leading is a defensive tell — money is hedging even while chasing tech. Cloud/AI names are also warming as Nvidia print approaches.

COOLING OFF: Utilities gave back 2% over five days despite the AI power narrative — market may be sensing peak power-demand hype.

ROTATION WATCH: Money is quietly rotating into "AI infrastructure winners with moats" — that's exactly AMZN's bucket. The data center backlash story is catalyzing this because it eliminates would-be competitors.

RELATED PLAY: If the hyperscaler thesis works, the picks-and-shovels plays win too — think Vertiv (VRT) for cooling, Eaton (ETN) for power management, and Equinix (EQIX) for interconnection.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure AI revenue growth is the benchmark everyone measures AWS against — if MSFT keeps winning, AMZN has to prove it's not losing share
- GOOGL (Alphabet): Google Cloud has been the fastest-growing hyperscaler by percentage — showing enterprise AI demand is real and broad

AMZN CONTEXT: AMZN is roughly in-line with the mega-cap tech pack but at 72% of its 52-week range, it's not overheated — MSFT and NVDA are closer to their highs. That relative underperformance actually sets up a catch-up trade if Nvidia's print goes well.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid setup with real catalysts, but Nvidia earnings risk keeps me from pounding the table this week

POSITION SIZE: 5-7% — this is a core holding, not a trade; the business is durable and diversified enough to size up

ENTRY POINTS: I'd add on any pullback to \$255-260, especially if Nvidia disappoints and drags the whole complex down — that's your gift

TIME HORIZON: 12-24 months, waiting for AWS growth re-acceleration to become undeniable in Q4/Q1 prints

WHEN TO BAIL: If AWS growth drops below 15% two quarters in a row, or the FTC gets a structural remedy — thesis is broken

HEDGING: Simple approach — buy a small put spread expiring after Nvidia earnings (limits your downside if AI trade cracks). Or just keep some cash on the side to buy the dip rather than trying to time hedges.